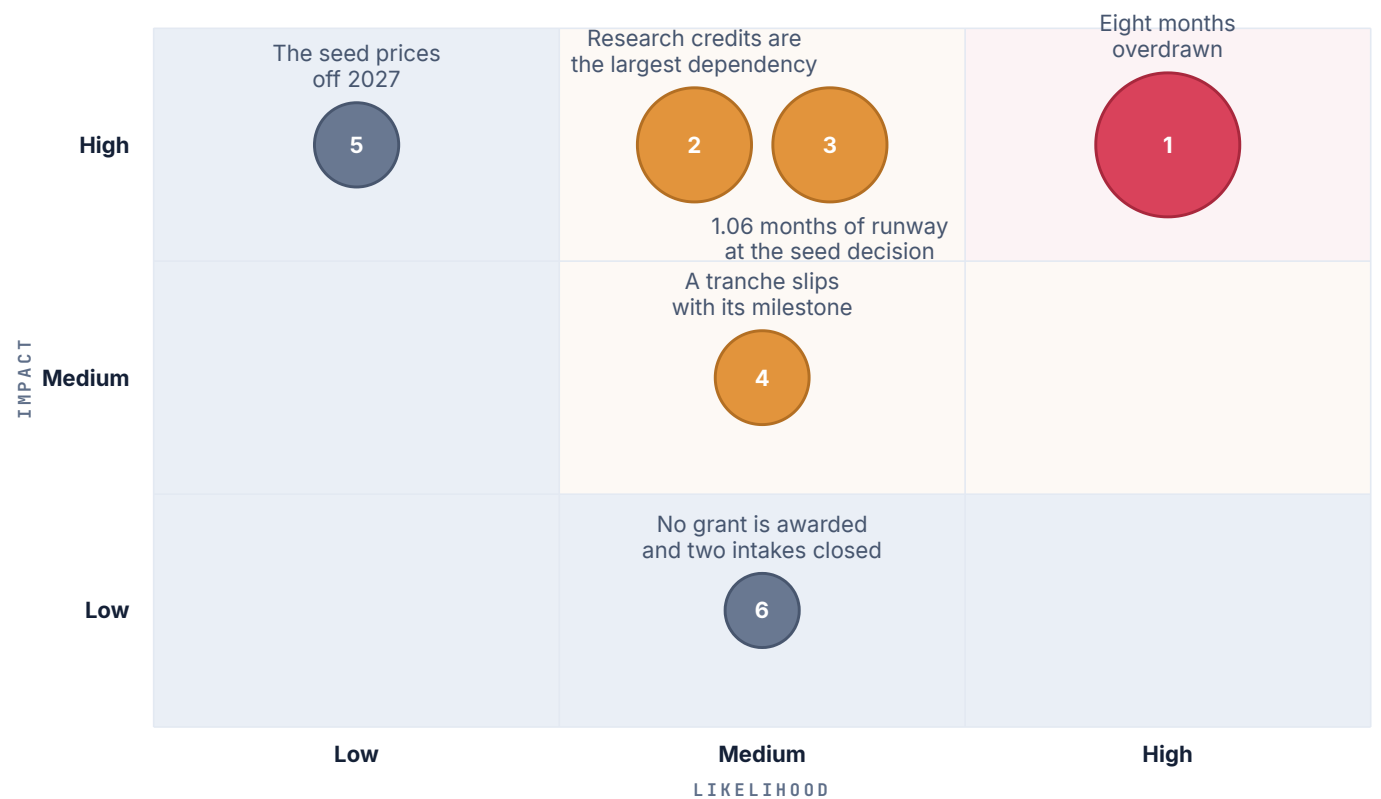


DOMAIN 05 · SIX SCENARIOS · RE-RUN AT EVERY BOARD UPDATE. THE ROAD IS THE CLOCK, NOT THE YEAR END

Funding and Runway Risk

Does \$2,050,000 of pre-seed carry this business to a fourth quarter 2028 round, and what happens in the months where it does not?

This is the domain where the plan attacks itself hardest, and the numbers below are the workbook's own rather than a reader's. Every year end cash balance across the six years is positive. **Eight individual months are not.** A year that adds up can still contain a month with nothing in the account, and the month by month road from the pre-seed close to two months past the seed is the tab that governs this domain. Two of the workbook's twelve reconciliations read REVIEW by design, and both of them are on this page.



Bubble size is the risk score, likelihood 1 to 3 multiplied by impact 1 to 3. The number inside is the scenario row in the table overleaf.

High 7 to 9

Medium 4 to 6

Low 1 to 3

SOURCES ON THIS PAGE

The road	Twenty nine months, August 2026 to December 2028, with revenue phased on customers live and cash collected on 45 day terms. Lowest month \$778,960 short, in May 2028, eight months overdrawn. 4orm Finance master pro forma rebuild of 16 August 2026, base case, recalculated in full, map to seed tab.	MODEL
The two checks that read REVIEW	Check 6, runway at the seed decision. Check 12, no month inside a year overdrawn. Both are stated by the plan rather than found by a reader. 4orm Finance master pro forma rebuild of 16 August 2026, base case, recalculated in full, checks tab.	MODEL
Scoring	Likelihood and impact are management judgements on a 1 to 3 scale.	MODEL

The six scenarios, scored

#	Scenario and trigger	L	I	Score	Early warning signal
1	The road is overdrawn in eight months and the facility does not close the gap One month early in 2027, then seven in a row through 2028. The lowest is May 2028 at a shortfall of \$778,960. Drawing the borrowing facility narrows it to \$340,891 across five months and does not close it	3	3	9	Monthly cash tracking below the month by month road at any point from the pre-seed close, rather than the year end balance, which is positive in all six years
2	Research credits turn out to be the largest single dependency in the plan Switching them off moves the lowest month to a shortfall of \$1,336,747 and the overdrawn count from eight months to sixteen. They are netted inside operating expenses against pay, which is why they are invisible there	2	3	6	Contemporaneous time tracking is not in place from the first engineering hour, or the eligible base is challenged on review
3	Runway at the seed decision is 1.06 months against a twelve month threshold the plan sets for itself Three other tabs call twelve months of cash the warning threshold for opening a raise. The workbook's own check on this reads REVIEW, and it is the only place the threshold is enforced	2	3	6	Any slip in the 2027 milestone chain, since the seed conversation already starts with about a month of cost in hand
4	A tranche slips because its milestone slips Three of the five instalments have no investor named. Each releases against named checkpoints rather than a date: the architecture note and two design partners, then both partners live plus a first paying customer, then \$10,000 a month across five customers	2	2	4	Any named milestone still open 30 days past its window, or 60 days passing with an instalment open and no investor identified
5	The seed is priced off 2027 rather than off 2028 Priced off 2028 the round is \$3.5M at \$30,000,000 post-money and the founder keeps 52.69 per cent. Priced off 2027 the same money lands at \$8,414,163 and the founder keeps 20.73 per cent	1	3	3	Cash pressure or a slipped milestone forces the conversation into 2027, when the recurring revenue behind it is a quarter of what it is a year later
6	None of the grant money is awarded, and two intakes have already closed \$775,000 across eight programmes, none of it awarded. Without any of it the lowest month moves to a shortfall of \$1,123,710 and the overdrawn count to ten months	2	1	2	A programme window closes or an application is declined, or burn rises anywhere against money nobody has awarded

Legend. Likelihood and impact each run 1 to 3 and the score is their product. Five of the six are already quantified in the workbook, which means the argument in this domain is about what to do rather than about how bad it is.

Every year in this plan ends above zero and eight months inside it do not.

That sentence is the whole domain. The pre-seed is sized where it is because of the month by month road rather than because of the annual model, and the shortfall of \$778,960 is the number the borrowing facility exists to protect against. It narrows the gap to \$340,891 across five months once the interest running against it is carried, and it does not close it. What closes it is a larger first round, slower spending, or the seed arriving earlier than Q4 2028, and each of those costs something different.

1 The road is overdrawn in eight months and the facility does not close the gap

SCORE 9 · L3 × I3

EVIDENCE · SEVEN SWITCHES, EACH ONE THROWN AND EVERY TAB RECALCULATED

The workbook checks itself in sixty five places and carries nine switches that turn whole parts of the plan off, so a reader can test it in about a minute rather than argue about it. Every case below is free of formula errors and every internal check holds. **Nothing switched off, the plan as written: \$778,960 short at the lowest month, eight months overdrawn. Grants off: \$1,123,710, ten months. Research credits off: \$1,336,747, sixteen months. Services and readiness revenue off: \$670,623, seven months. The second rule maker line off: \$624,143, seven months. The meters off: \$820,484, eight months. The borrowing facility drawn: \$340,891, five months.** Two of those rows are the ones worth reading twice. Removing the least evidenced revenue line improves the road, and drawing the loan does not fix it.

RESPONSE FOR 4ORM

The response is a written plan rather than a hope, and it has to exist before February 2027 rather than during it. Three levers, in the order they cost least. First, the facility: keep it pre-negotiated and ready to draw on short notice, on the understanding that it buys five months of a smaller hole rather than a clean road. Second, the spend: agree now, in writing, the list of discretionary items that stop first, which is anything not required for the architecture note, the twenty discovery calls or the two design partner signatures. Third, the round: the workbook's own recommendation is a fourth quarter 2028 close, and pulling it earlier is the most expensive of the three because it reprices the whole company against a quarter of the recurring revenue. **The one thing not to do is treat the year end balances as the answer.** They are positive in all six years, they are correct, and they hide the eight months that matter. Set an internal amber trigger meaningfully above zero, in months of cost rather than in dollars, and put the facility decision on the table when it is crossed.

SOURCES ON THIS PAGE

The lowest month	\$778,960 short, May 2028, eight months overdrawn: one in February 2027 and seven in a row from February to August 2028. Cash at the seed close in October 2028 is \$4,567,520. 4orm Finance master pro forma rebuild of 16 August 2026, base case, recalculated in full, map to seed tab.	MODEL
The switch table	Seven cases, each produced by throwing one switch and recalculating every tab. 4orm Finance Vision, 17 August 2026, section 13, and the control panel of 4orm Finance master pro forma rebuild of 16 August 2026, base case, recalculated in full.	MODEL
The facility	\$500,000 at 8 per cent, interest only, repaid out of the seed, switched off in the base case. About \$90,000 of interest across the period. It narrows the lowest month to \$340,891 across five months. 4orm Finance master pro forma rebuild of 16 August 2026, base case, recalculated in full, capital structure tab.	MODEL
Why the market is worth the risk	The financial intelligence unit imposed CAD \$203.1M across 29 notices in 2025 against CAD \$19.0M across 16 in 2024. FINTRAC · Bank of Canada penalties policy	PRIMARY

SOURCES ON THIS PAGE

The credits	Federal research credit \$2,351,025 and Alberta innovation employment grant \$842,685 across six years, both netted inside operating expenses against pay. Eligible base is engineering pay plus 80 per cent of contracted development, security review excluded. 4orm Finance master pro forma rebuild of 16 August 2026, base case, recalculated in full, team roadmap tab.	MODEL
The sensitivity	Research credits off: lowest month \$1,336,747 short, sixteen overdrawn months, against eight in the base case. 4orm Finance Vision, 17 August 2026, section 13.	MODEL
Total non-dilutive support	\$3,968,710 across grants and credits, falling from 22.8 per cent of operating cost in 2026 to 3.9 per cent in 2031. 4orm Finance master pro forma rebuild of 16 August 2026, base case, recalculated in full, profit and loss tab, section 4.	MODEL

2 Research credits turn out to be the largest single dependency in the plan

SCORE 6 · L2 × I3

EVIDENCE · THE DEPENDENCY THE PLAN FOUND BY TESTING ITSELF

The federal research credit contributes \$2,351,025 across the six years and the Alberta innovation employment grant a further \$842,685, both netted inside operating expenses against pay rather than shown as income, which is why neither is visible in the cost lines. Together with the eight grant programmes they make \$3,968,710 of support that is not equity. **Throwing the research credit switch moves the lowest month from a shortfall of \$778,960 to \$1,336,747 and doubles the overdrawn count from eight months to sixteen, which makes it the single largest dependency in the workbook.** The plan says so on its own page rather than leaving it to be discovered, and the eligible base is engineering pay plus eighty per cent of the contracted development, with the security review deliberately excluded because a review is not experimental development.

RESPONSE FOR 4ORM

This is an administrative risk with a technical cure, and the cure has to start on the first engineering hour rather than at the first claim. The workbook states the condition plainly: the credit is a cost offset, never revenue, and it is never claimed without contemporaneous time tracking. **Contemporaneous means recorded as the work happens, which is the same discipline the product itself sells, and it is the reason this dependency is controllable rather than merely large.** Three controls. Put time tracking in place before the build starts, on both the internal engineers and the contracted team, since eighty per cent of the development base is inside the eligible amount. Keep the security review outside the claim, as budgeted, and keep the invoices separable so the exclusion is provable rather than asserted. And report the claim as a range in every board update until the first assessment is complete, because a plan that treats an unfiled claim as banked cash is the same error the grant scenario warns about, one line further down.

3 Runway at the seed decision is 1.06 months against a twelve month threshold the plan sets for itself

SCORE 6 · L2 × I3

EVIDENCE · THE CHECK THAT EXISTS IN ONLY ONE PLACE

Three separate tabs describe twelve months of cash as the warning threshold for opening a raise, and exactly one place in the workbook enforces it. Check 6 divides cash at the end of 2027 by the average monthly cost of 2028 and returns 1.06 months. It reads REVIEW rather than PASS, and the workbook explains that a REVIEW is not a failure but a threshold the plan sets for itself and has crossed. **Drawing the facility moves it to 1.54 months, which is the same answer in a different font.** The plan reaches its own seed conversation with about a month of cost in hand, and it says so.

RESPONSE FOR 4ORM

Two honest readings sit beside each other here and both belong in the room. The first is that the seed is not required to fund the trough: the cumulative loss across the plan bottoms at \$472,480, the pre-seed is \$2,050,000, and the workbook therefore computes the minimum seed the plan requires as zero. Everything above that is optionality rather than survival, and the business turns profitable in 2028 on the six line plan. The second is that a month of runway removes every option except the one in front of you, which is exactly the condition in which a round gets priced badly. **The controls are the same three as scenario 1 and the point of listing them twice is that they have to be decided once, early, together.** What changes here is the reporting: put runway in months, computed against next year's cost rather than this year's, on the front page of every board update from the third quarter of 2026. And do not quote the earnings margin alongside it. The workbook's own check on that reads REVIEW, because the cost base has not been rebuilt for six revenue lines, and it states that the margin must not be quoted yet.

4

A tranche slips because its milestone slips

SCORE 4 · L2 × I2

EVIDENCE · MONEY RELEASED AGAINST EVIDENCE RATHER THAN AGAINST A CALENDAR

Six items sit on the capital schedule and each is either true or it is not. The angel instalment of \$50,000 at twenty five cents a share was committed at incorporation. The first pre-seed instalment of \$500,000 at fifty cents releases against the build partner being engaged and the intellectual property assignment signed. The second releases against the architecture note accepted, twenty discovery calls done and two design partners signed. The third against both partners live in production and the first paying subscription customer signed. The fourth against \$10,000 a month of recurring revenue across at least five paying customers. The facility is available at close if needed. **Three of the five instalments have no investor named, and the three that gate the money are also the three cheapest milestones in the plan.**

RESPONSE FOR 4ORM

The structure is materially safer than debt with covenants: these are agreements for future equity at ceilings of \$15M, \$18M and \$20M with a fifteen per cent discount and most favoured nation terms, so a slip delays money rather than triggering anything. The exposure is timing against a road with no room in it. Two controls. Track the three sub-milestones of the second open instalment weekly from September 2026, with an amber flag if any one of them is still open thirty days past the window, because the road goes negative in February 2027 whether or not the money has landed. And open investor conversations for all three open instalments in parallel now rather than sequentially on completion of each milestone set: the discovery calls and the design partner signatures are themselves the credential, and sixty days with an instalment open and nobody named is the trigger to widen the search. **The three gating milestones are the architecture note, the assignment and the twenty calls, and none of them is expensive. All three are cheaper than finding out later, which is why they sit before the phase one deposit rather than after it.**

SOURCES ON THIS PAGE

The threshold and the check	Three tabs call twelve months the warning threshold and Check 6 is the only place it is enforced: 1.06 months on equity alone, 1.54 with the facility. 4orm Finance master pro forma rebuild of 16 August 2026, base case, recalculated in full, checks and capital structure tabs.	MODEL
What the plan actually needs	Cumulative loss bottoms at \$472,480 against \$2,050,000 of pre-seed, so the minimum seed the plan requires computes to zero, and 2028 is the first profitable year. 4orm Finance master pro forma rebuild of 16 August 2026, base case, recalculated in full, seed timing and profit and loss tabs.	MODEL
The five instalments and the six gates	Amounts, instruments, ceilings and what has to be true before each releases. 4orm Finance master pro forma rebuild of 16 August 2026, base case, recalculated in full, capital structure and milestones tabs.	MODEL
The margin that must not be quoted	The earnings margin check reads REVIEW: the cost base has not been rebuilt for six revenue lines. 4orm Finance master pro forma rebuild of 16 August 2026, base case, recalculated in full, revenue lines tab.	MODEL

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The benchmarks this plan is measured against	SaaS Capital, retention and spending benchmarks · KeyBanc Capital Markets, revenue a head · ICONIQ, growth by stage · Bessemer, scaling to US\$100M · BlackLine, 112 per cent net revenue retention	SECONDARY
Where the plan sits against them	Gross revenue retention of 93.1 to 93.4 per cent against a 91 per cent benchmark. Acquisition cost payback of 1.9 to 5.8 months against a 13 to 20 month band. Value against cost to win of 20.5 times in 2031 against a test of 3, on an acquisition cost that leaves sales pay out and a customer life of ten years with no discount, both of which flatter the ratio and the workbook says so. 4orm Finance master pro forma rebuild of 16 August 2026, base case, recalculated in full, unit economics tab.	MODEL

5 The seed is priced off 2027 rather than off 2028

SCORE 3 • L1 × I3

CASE STUDY • WHAT THIS CATEGORY HAS BEEN WORTH, AND ON WHAT BASIS

The multiples in this market are known and they are attached to recurring revenue rather than to a story. Nasdaq acquired Verafin for US\$2.75B, around 19.5 times forward revenue, on 98 per cent client retention and 97 per cent recurring revenue ([CNBC](#); [Nasdaq](#)). AuditBoard was acquired by Hg at more than US\$3B on more than US\$200M of recurring revenue, roughly 15 times ([Hg](#)). Thomson Reuters paid roughly US\$800M for Pagero ([International Accounting Bulletin](#)), while Tungsten, with the same mandate exposure and less underneath it, sold for about GBP 70.6M ([Canaccord Genuity](#)). Bessemer's Cloud 100 average is 7.5 years to US\$100M of recurring revenue ([Bessemer](#)).

RESPONSE FOR 40RM

The seed in this plan is asked at 1.54 times the recurring revenue at the end of 2028, which is modest against every figure above, and that is the point. **Priced off 2028 the round is \$3.5M at \$30,000,000 post-money, the three agreements for future equity convert at their ceilings for 8.61 per cent, the seed investors take 11.67 per cent, a ten per cent option pool is created and the founder keeps 52.69 per cent. Priced off 2027 instead, the same \$3.5M lands at \$8,414,163 post-money, the early money converts on the discount rather than the ceiling and takes 20.97 per cent, the seed investors take 41.60 per cent, and the founder keeps 20.73 per cent.** The multiple barely moves between those two columns. What moves is the recurring revenue behind it, which is four and a half times larger a year later on the same team and the same product. Pricing off 2028 rather than 2027 is the most valuable single decision in the plan, and the only thing that forces the earlier column is running out of cash. That is the link between this scenario and the first one on the board, and it is the reason the eight overdrawn months are scored where they are.

6 None of the grant money is awarded, and two intakes have already closed

SCORE 2 • L2 × I1

EVIDENCE • EIGHT PROGRAMMES, \$775,000, NONE AWARDED, AND THREE WINDOWS ALREADY SHUT

The schedule is honest about its own status programme by programme. Two ElevateIP Alberta lines, \$10,000 for a strategy and up to \$100,000 for implementation, are open under a new call for August 2026 with a four week window. The TECHNATION wage subsidy is open on the autumn 2026 intake at fifty per cent of a student's pay to a maximum of \$5,000 a placement. The Canada-Alberta productivity grant is open and continuous. **Three Alberta Innovates programmes, the Micro Voucher, the Voucher and Product Demonstration, all show intake closed as at 29 May 2026 with no reopening date published.** The National Research Council line of \$360,000 has no published funding table at all and every figure in it is negotiated. Two of the programmes also require the company to put in cash to unlock them, and Product Demonstration is a one to one match.

RESPONSE FOR 40RM

The plan already refuses the sharpest version of this failure: it reaches the seed without any of the \$775,000 and carries nil awarded across all eight programmes. Keep that operationally true rather than only true on paper. **No hiring, no vendor commitment and no increase in burn between now and 2028 is sized against an assumed award, and any grant that does land extends the runway or pulls the roadmap forward rather than clearing a month the cash flow needed cleared anyway.** Without any of it the lowest month moves from a shortfall of \$778,960 to \$1,123,710 and the overdrawn count from eight months to ten, which is material and survivable, and that distinction is worth stating in the room rather than leaving to be worked out. Two practical items. Chase the two open ElevateIP windows inside the four weeks, because they are the cheapest money on the list and they fund protecting the rule content engine and the two date model. And re-affirm in every investor update that the base case assumes receipt of zero, which is both true and the most useful thing to be able to say about a grant schedule.

What to watch, and how often

Five of the six scenarios in this domain are already quantified in the workbook, so the cadence below is about deciding in advance rather than detecting late. Three of the six lines have to be written down before February 2027, which is the first month the road goes negative.

Monitoring cadence

- **Monthly cash against the month by month road, from the pre-seed close.** Not the year end balance, which is positive in all six years and hides the eight months that are not. The amber trigger is set in months of cost, above zero, and crossing it puts the facility decision on the table.
- **The discretionary cut list, agreed in writing before February 2027.** Anything not required for the architecture note, the twenty discovery calls or the two design partner signatures. Decided once, in advance, rather than discovered in the month it is needed.
- **Contemporaneous time tracking, from the first engineering hour.** On the internal engineers and the contracted team both, since eighty per cent of the development base sits inside the eligible amount. The largest single dependency in the plan is administrative and this is the whole cure.
- **The three open instalments, weekly from September 2026.** An amber flag if any sub-milestone is still open thirty days past its window. Sixty days open with no investor named widens the search rather than waiting.
- **Runway in months on the front page of every board update, from Q3 2026.** Computed against next year's monthly cost, which is the cost the cash has to cover. Never alongside the earnings margin, which the workbook says must not be quoted yet.
- **All eight grant programmes, quarterly, with burn unchanged.** Re-affirm in every investor update that the base case assumes receipt of zero. Chase the two open ElevateIP windows inside their four weeks.

SOURCES ON THIS PAGE

Valuation comparables	Verafin at US\$2.75B · Nasdaq's release · AuditBoard acquired by Hg · Thomson Reuters and Pagero · Tungsten's sale · Bessemer Cloud 100	PRIMARY / SECONDARY
The two pricing columns	\$3.5M at \$30,000,000 post-money against \$8,414,163: 1.54 times \$19,486,034 of recurring revenue at the end of 2028 against 2.00 times \$4,211,249 at the end of 2027. Founder 52.69 per cent against 20.73 per cent. 4orm Finance master pro forma rebuild of 16 August 2026, base case, recalculated in full, seed timing and pricing tab.	MODEL
The grant schedule	Eight programmes, \$775,000, none awarded. Three Alberta Innovates intakes closed as at 29 May 2026 with no reopening date. ElevateIP open under an August 2026 call. Published by ElevateIP Alberta, Alberta Innovates, the National Research Council, TECHNATION Canada and the Government of Alberta, as recorded on the schedule. 4orm Finance master pro forma rebuild of 16 August 2026, base case, recalculated in full, non-dilutive capital tab.	MODEL